

NON-DISCLOSURE AGREEMENT — DRAFT V4

(Requires Attorney Review Before Use)

Changes from V3 (4 items):

- `Article 5.1`: Non-compete scope narrowed — geographic limitation + existing product line carve-out **added**

- `Article 10.2(b)`: Non-compete survival reduced from **5 years** → **2 years** (aligned with Japanese V4)

- `Article 14.2`: Tokyo District Court → **ICC Arbitration (Singapore)**

- `Article 16`: Non-solicitation of employees + non-announcement of relationship **newly added**

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 **ATTORNEY REVIEW REQUIRED** before use.

 **THIS IS A DRAFT DOCUMENT. IT MUST BE REVIEWED BY QUALIFIED LEGAL COUNSEL BEFORE USE. THIS DOCUMENT DOES NOT CONSTITUTE LEGAL ADVICE.**

This Non-Disclosure Agreement (this "Agreement") is entered into as of _____, 20__ (the "Effective Date"), by and between:

Disclosing Party:

CRUX G.K. (クラックス合同会社), a Godo Kaisha organized under the laws of Japan, with its principal place of business at 8-24-12 Horikiri, Katsushika-ku, Tokyo 124-0006, Japan ("Crux" or "Disclosing Party"); and

Receiving Party:

_____, a [corporation/individual/limited liability company] organized under the laws of _____, with its principal place of business at _____ ("Receiving Party").

Crux and the Receiving Party are referred to individually as a "Party" and collectively as the "Parties."

RECITALS

WHEREAS, Crux is engaged in the international distribution of a proprietary fluoropolymer penetrating anti-fouling coating concentrate sold under the brand name kichi (吉) (the "Product");

WHEREAS, the Product's formula, composition, and related know-how constitute Crux's core trade secrets and are not protected by any patent registration — a deliberate strategic decision that makes contractual confidentiality protection the sole legal safeguard for these assets;

WHEREAS, the Receiving Party desires to evaluate the Product and a potential commercial relationship with Crux (the "Purpose"), which evaluation requires access to certain Confidential Information of Crux;

WHEREAS, the Parties wish to establish the terms under which such Confidential Information may be disclosed and used;

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Parties agree as follows:

ARTICLE 1 — DEFINITIONS

1.1 **"Confidential Information"** means any and all information or data, in any form or medium (whether written, oral, visual, electronic, or otherwise), disclosed by Crux to the Receiving Party in connection with the Purpose, including without limitation:

- (a) the formula, chemical composition, concentration ratios, blending procedures, and related technical specifications of the Product;
- (b) manufacturing processes, production methods, quality control procedures, and technical know-how relating to the Product;
- (c) the identity, name, contact information, location, and all other information concerning the manufacturer of the Product (including Keystone Co., Ltd. (株式会社キーストン) and any other supplier in Crux's supply chain);
- (d) unit pricing, cost structure, cost basis, profit margins, pricing policies, and any other financial or commercial terms relating to the Product;

- (e) current and prospective customer lists, sales prospect information, business negotiation records, and distribution partner information;
- (f) distribution strategies, marketing plans, business expansion plans, and overall business strategy;
- (g) application techniques, installation know-how, application manuals, and technical guidance documents;
- (h) quality test data, performance evaluation data, and test reports; and
- (i) any other information designated as confidential by Crux or that a reasonable person would understand to be confidential given the nature of the information and the circumstances of disclosure.

1.2 **"Confidential Information"** also includes all notes, analyses, compilations, studies, summaries, and other material prepared by the Receiving Party to the extent that they contain or reflect Confidential Information.

1.3 **"Purpose"** means the evaluation by the Receiving Party of the Product and of a potential commercial relationship with Crux, including the potential purchase, distribution, and agency of the Product as an authorized distributor or sales agent.

1.4 **"Representatives"** means, with respect to the Receiving Party, its officers, directors, employees, legal counsel, financial advisors, and other professional advisors who have a need to know the Confidential Information for the Purpose.

ARTICLE 2 — CONFIDENTIALITY OBLIGATIONS

2.1 **Non-Disclosure.** The Receiving Party shall hold all Confidential Information in strict confidence and shall not, without the prior written consent of Crux, disclose, disseminate, publish, or transfer any Confidential Information to any third party.

2.2 **Limited Use.** The Receiving Party shall use Confidential Information solely for the Purpose and for no other purpose whatsoever.

2.3 **Internal Disclosure.** The Receiving Party may disclose Confidential Information to its Representatives, but only to the extent necessary for the Purpose and only if such Representatives are bound by confidentiality obligations no less restrictive than those set forth in this Agreement. The Receiving Party shall be responsible for any breach of this Agreement by its Representatives as if such breach were committed by the Receiving Party itself.

2.4 **Security Measures.** The Receiving Party shall take all reasonable security precautions to protect Confidential Information from unauthorized access, use, or

disclosure, using at least the same degree of care it uses to protect its own most sensitive confidential information, but in no event less than a reasonable degree of care.

2.5 Copying. The Receiving Party shall not reproduce or copy Confidential Information except to the extent reasonably necessary for the Purpose.

2.6 Notice of Representatives. Upon request by Crux, the Receiving Party shall promptly provide Crux with a written list identifying each Representative to whom Confidential Information has been disclosed.

ARTICLE 3 — RESTRICTIONS ON USE

3.1 The Receiving Party shall not use Confidential Information for any purpose other than the Purpose. Without limiting the generality of the foregoing, the Receiving Party expressly agrees that it shall not:

- (a) use Confidential Information, in whole or in part, to develop, manufacture, test, market, distribute, or sell any product that is the same as or substantially similar to the Product, including any fluoropolymer penetrating coating or anti-fouling treatment, without Crux's prior written consent;
- (b) use Confidential Information to supply, distribute, or cause to be distributed the Product or any substantially similar product to any third party, other than pursuant to a written distribution agreement with Crux;
- (c) use Confidential Information to benefit any competitor of Crux;
- (d) use Confidential Information to contact, approach, or enter into a direct business relationship with Crux's manufacturer or any supplier identified through Confidential Information, bypassing Crux as the distributor; or
- (e) otherwise exploit Confidential Information in a manner that circumvents the commercial relationship contemplated by the Parties.

ARTICLE 4 — PROHIBITION ON REVERSE ENGINEERING

4.1 The Receiving Party shall not, and shall ensure that its Representatives do not, directly or indirectly engage in any reverse engineering, decompilation, disassembly, chemical analysis, spectroscopic analysis, or any other analytical method or technique with respect to the Product, for the purpose of determining the Product's formula, composition, ingredients, concentration ratios, or manufacturing process.

4.2 This prohibition applies regardless of whether the Receiving Party lawfully obtained a sample of the Product, and regardless of whether the analysis is conducted by the Receiving Party itself or by any third party engaged by the Receiving Party.

ARTICLE 5 — NON-COMPETE OBLIGATION

5.1 During the Term of this Agreement, the Receiving Party shall not, without Crux's prior written consent, directly or indirectly develop, manufacture, import, distribute, market, or sell, **within the Receiving Party's territory or area of business operations**, any fluoropolymer penetrating coating product or any product with substantially similar function or application as the Product that **directly competes with the Product**, whether in its own name or through any affiliate, subsidiary, agent, or third party. **This restriction shall not apply to competing products that the Receiving Party was already distributing or selling prior to the Effective Date of this Agreement, the scope of which shall be separately confirmed in writing by the Parties.**

5.2 The restriction in Section 5.1 shall not apply to the extent the Receiving Party can demonstrate, by clear documentary evidence, that its competing product was independently developed without any use of or reference to Confidential Information received from Crux.

ARTICLE 6 — EXCLUSIONS FROM CONFIDENTIAL INFORMATION

6.1 The obligations set forth in this Agreement shall not apply to information that the Receiving Party can demonstrate:

- (a) was in the public domain at the time of disclosure to the Receiving Party and not as a result of any breach by the Receiving Party;
- (b) became publicly available after disclosure to the Receiving Party through no act or omission of the Receiving Party or its Representatives;
- (c) was independently developed by the Receiving Party without use of or reference to any Confidential Information, as evidenced by written records predating the disclosure; or
- (d) was lawfully disclosed to the Receiving Party by a third party who was not under any obligation of confidentiality with respect to such information.

6.2 The burden of proving that any information falls within one of the exclusions in Section 6.1 rests solely with the Receiving Party.

ARTICLE 7 — LEGALLY COMPELLED DISCLOSURE

7.1 If the Receiving Party is required by applicable law, court order, regulatory authority, or governmental mandate to disclose any Confidential Information, the Receiving Party shall, to the extent legally permissible:

- (a) promptly notify Crux in writing prior to any such disclosure, and in any event no later than five (5) business days after receiving notice of such requirement;
- (b) reasonably cooperate with Crux's efforts to obtain a protective order, confidential treatment, or other appropriate relief; and
- (c) disclose only that portion of the Confidential Information that is legally required to be disclosed.

7.2 A legally compelled disclosure under this Article shall not constitute a breach of this Agreement; provided, however, that the Receiving Party fulfills the obligations set forth in this Article.

ARTICLE 8 — RETURN AND DESTRUCTION OF CONFIDENTIAL INFORMATION

8.1 Upon written request by Crux, or upon expiration or termination of this Agreement, the Receiving Party shall promptly, and in any event within ten (10) business days of such request or termination:

- (a) return to Crux all tangible materials containing or reflecting Confidential Information, including all documents, notes, drawings, samples, electronic files, storage media, and any copies thereof; or
- (b) at Crux's election, destroy all such materials and certify such destruction in writing to Crux, signed by an authorized officer of the Receiving Party.

8.2 With respect to electronically stored Confidential Information, the Receiving Party shall use commercially reasonable technical measures to ensure permanent deletion.

8.3 Notwithstanding the foregoing, the Receiving Party may retain archival copies of Confidential Information that are automatically created in the ordinary course of its information technology backup procedures, provided that such copies remain subject to

all confidentiality obligations of this Agreement and are not accessible in the ordinary course of business.

ARTICLE 9 — INTELLECTUAL PROPERTY

9.1 Nothing in this Agreement shall be construed to grant the Receiving Party any license, right, title, or interest in or to any Confidential Information or any intellectual property rights of Crux. All Confidential Information disclosed hereunder remains the exclusive property of Crux.

9.2 The Receiving Party acknowledges and agrees that the Product formula, composition, manufacturing process, and related know-how constitute trade secrets of Crux that are protected by applicable law, including without limitation the Japanese Unfair Competition Prevention Act (不正競争防止法), and that any unauthorized use or disclosure thereof may give rise to civil and criminal liability.

9.3 The Receiving Party shall not apply for, register, or attempt to obtain any patent, utility model, or other intellectual property protection covering any aspect of the Confidential Information or any product derived therefrom.

ARTICLE 10 — TERM AND SURVIVAL

10.1 This Agreement shall be effective as of the Effective Date and shall continue for a period of five (5) years (the "Term"), unless terminated earlier by either Party upon thirty (30) days' prior written notice to the other Party.

10.2 Notwithstanding any termination or expiration of this Agreement, the following obligations shall survive:

(a) The obligations of confidentiality, non-use, and prohibition on reverse engineering set forth in Articles 2, 3, and 4, with respect to the Product formula, composition, and manufacturing process: **indefinitely**, until such time as such information becomes publicly available through no fault of the Receiving Party;

(b) The obligations of confidentiality, non-use, and prohibition on reverse engineering set forth in Articles 2, 3, and 4, with respect to all other Confidential Information: for a period of **five (5) years** following the expiration or termination of this Agreement; and

(c) The non-compete obligation set forth in Article 5: for a period of **two (2) years** following the expiration or termination of this Agreement.

[Note: Non-compete survival reduced from 5 years (V3) to 2 years (V4) to align with Japanese V4 and to reduce enforceability risk under UAE and other applicable laws.]

ARTICLE 11 — REMEDIES

11.1 **Irreparable Harm.** The Receiving Party acknowledges and agrees that any breach or threatened breach of this Agreement would cause Crux irreparable harm for which monetary damages would be an inadequate remedy, and that Crux shall be entitled to seek equitable relief, including injunctive relief and specific performance, without the necessity of posting any bond or proving actual damages, in addition to all other remedies available at law or in equity.

11.2 **Liquidated Damages.** In addition to any other remedies available to Crux, if the Receiving Party breaches any obligation under this Agreement, the Receiving Party shall pay to Crux, as liquidated damages and not as a penalty, the sum of Japanese Yen Fifty Million (¥50,000,000) per breach. The Parties agree that this amount represents a reasonable pre-estimate of the damages that would be suffered by Crux in the event of such a breach, given the difficulty of calculating actual damages and the value of the trade secrets involved. Crux retains the right to claim damages in excess of the liquidated damages amount where actual damages exceed such amount.

[Attorney note: Japanese NDA (Article 8.2) sets liquidated damages at USD \$100,000. Please align the amount between Japanese and English versions.]

11.3 **Cumulative Remedies.** All remedies provided in this Agreement are cumulative and not exclusive of any remedies provided by law or in equity.

ARTICLE 12 — CONDITION PRECEDENT FOR PRODUCT DISCLOSURE

12.1 The Receiving Party acknowledges and confirms that Crux has informed the Receiving Party that the execution of this Agreement is an absolute condition precedent to Crux's disclosure of any product samples, technical data sheets, formula information, pricing information, supplier information, or any other Confidential Information.

12.2 Any information disclosed by Crux to the Receiving Party prior to the execution of this Agreement shall, by the Parties' agreement, be deemed to have been disclosed subject to the confidentiality obligations set forth in this Agreement.

ARTICLE 13 — REPRESENTATIONS AND WARRANTIES

13.1 Each Party represents and warrants that: (a) it has full power and authority to enter into this Agreement; (b) the execution and performance of this Agreement has been duly authorized by all necessary action; and (c) this Agreement constitutes a valid and binding obligation of such Party, enforceable against it in accordance with its terms.

ARTICLE 14 — GOVERNING LAW AND DISPUTE RESOLUTION

14.1 **Governing Law.** This Agreement shall be governed by and construed in accordance with the laws of Japan, without regard to its conflict of laws principles.

14.2 **Arbitration.** Any dispute arising out of or in connection with this Agreement, including any question regarding its existence, validity, or termination, that cannot be resolved through good-faith negotiation within thirty (30) days of written notice of the dispute, shall be finally resolved by arbitration administered by the International Chamber of Commerce (ICC) under its Arbitration Rules, with the seat of arbitration in Singapore, conducted in the English language, before a sole arbitrator. The arbitral award shall be final and binding upon the Parties and may be enforced in any court of competent jurisdiction.

[Note: Changed from Tokyo District Court exclusive jurisdiction (V3) to ICC arbitration (V4). Tokyo court judgments are difficult to enforce in the UAE; ICC arbitral awards are enforceable in 170+ countries under the New York Convention. Subject to final attorney review.]

14.3 **Service of Process.** If the Receiving Party is located outside Japan, the Receiving Party agrees that service of process may be effected by registered mail to the address set forth above or to such other address as may be designated in writing.

ARTICLE 15 — GENERAL PROVISIONS

15.1 **Entire Agreement.** This Agreement constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior and contemporaneous negotiations, representations, agreements, and understandings, whether oral or written, relating to the same subject matter.

15.2 **Amendments.** No amendment or modification of this Agreement shall be valid or binding unless made in writing and duly signed by authorized representatives of both Parties.

15.3 **Severability.** If any provision of this Agreement is held invalid, illegal, or unenforceable under applicable law, such provision shall be modified to the minimum extent necessary to make it enforceable, and the remaining provisions shall continue in full force and effect.

15.4 **Waiver.** No failure or delay by Crux in exercising any right under this Agreement shall operate as a waiver thereof. No single or partial exercise of any right shall preclude further exercise of that right or the exercise of any other right.

15.5 **Assignment.** The Receiving Party may not assign or transfer this Agreement or any rights or obligations hereunder without the prior written consent of Crux. Crux may assign this Agreement in its sole discretion. Any purported assignment in violation of this Section shall be null and void.

15.6 **Notices.** All notices under this Agreement shall be in writing and delivered by: (a) registered or certified mail, return receipt requested; (b) internationally recognized overnight courier; or (c) email with read receipt, to the addresses set forth in the preamble of this Agreement, or to such other address as a Party may specify in writing.

15.7 **Language.** This Agreement is executed in the English language, which shall be the controlling version. A Japanese translation may be prepared for reference purposes only; in the event of any inconsistency between the English and Japanese versions, the English version shall prevail.

15.8 **Counterparts.** This Agreement may be executed in counterparts, each of which shall constitute an original, and all of which, taken together, shall constitute one and the same instrument. Electronic signatures shall be deemed valid and binding.

15.9 **No Partnership or Agency.** Nothing in this Agreement shall be construed to create a partnership, joint venture, agency, employment, or other similar relationship between the Parties.

ARTICLE 16 — NON-SOLICITATION AND NON-ANNOUNCEMENT

(New — V4)

16.1 **Non-Solicitation of Personnel.** During the Term and for a period of one (1) year following its expiration or termination, the Receiving Party shall not, directly or indirectly, solicit, recruit, induce, or hire any officer, employee, or independent contractor of Crux or of Crux's manufacturer (Keystone Co., Ltd.) without the prior written consent of Crux.

16.2 **Non-Announcement.** The Receiving Party shall not, without the prior written consent of Crux, disclose, announce, or otherwise make public the existence of this

SIGNATURE PAGE

CRUX G.K. (クラックス合同会社)

[illegible]

Date: __/__/__